GreenCorp Kft.

2024 Sustainability Statement

Aligned with ESRS E1 — Climate Change

Prepared by: Sustainability & ESG Department
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1. Introduction & Executive Summary

GreenCorp Kft. is pleased to present its 2024 Sustainability Statement, prepared in alignment with the European Sustainability Reporting Standards (ESRS), specifically ESRS E1 covering Climate Change. This report represents the company's third annual sustainability disclosure and reflects our ongoing commitment to transparency, accountability, and continuous improvement in environmental, social, and governance (ESG) performance.

The year 2024 marked a pivotal period for GreenCorp as we accelerated our decarbonization strategy amid a challenging macroeconomic environment. Despite supply chain disruptions and energy market volatility across Central Europe, the company maintained its trajectory toward its 2030 carbon reduction targets. This report provides detailed data on our greenhouse gas emissions across all three scopes, renewable energy adoption rates, workforce demographics, and governance structures.

Key highlights from 2024 include the completion of our rooftop solar installation at the Budapest facility, the launch of a comprehensive supplier engagement program targeting Scope 3 emission reductions, and a 12% increase in employee participation in sustainability training initiatives. We have also strengthened our governance framework by establishing a dedicated ESG Committee at the Board level, chaired by an independent non-executive director.

This statement has been reviewed by our internal audit department and approved by the Board of Directors on March 10, 2025. While we have not yet obtained external limited assurance on all reported metrics, we are actively working toward full third-party verification for our 2025 reporting cycle, as required under the phased implementation of the Corporate Sustainability Reporting Directive (CSRD).

The data presented herein draws from multiple verified internal systems, including our enterprise resource planning (ERP) platform, human resources information system (HRIS), and dedicated environmental data management software. All emission factors applied are sourced from the Hungarian Energy and Public Utility Regulatory Authority (MEKH) and the Department for Environment, Food & Rural Affairs (DEFRA) conversion factors for the 2024 reporting year, supplemented by supplier-specific emission factors where available.

2. About GreenCorp Kft.

GreenCorp Kft. is a Hungarian limited liability company founded in 1998 and headquartered in Budapest. The company operates in the industrial manufacturing sector, specializing in precision-engineered components for the automotive and renewable energy supply chains. With production facilities strategically located across Hungary, GreenCorp has established itself as a trusted Tier-2 supplier to major European original equipment manufacturers (OEMs).

The company conducts production activities at 3 sites. These facilities are located in Budapest (the company's headquarters and primary manufacturing hub), Gy■r (a specialized facility focused on high-precision machining for automotive drivetrain components), and Pécs (a dedicated assembly and finishing plant serving the renewable energy sector). Together, these three sites form an integrated production network that enables GreenCorp to serve customers across 14 European countries.

In 2024, GreenCorp generated total revenue of EUR 187 million, representing a 6.4% increase compared to the prior year. The company employed a diverse workforce across its three locations, with significant investments made in automation, digitalization, and employee upskilling programs. Our customer base includes several blue-chip automotive manufacturers and wind turbine OEMs, reflecting the dual focus of our business strategy on both traditional and green economy sectors.

GreenCorp's corporate mission — "Precision Engineering for a Sustainable Future" — reflects our conviction that industrial excellence and environmental stewardship are complementary, not competing, objectives. We are committed to the principles of the UN Global Compact and align our sustainability strategy with the Sustainable Development Goals (SDGs), with particular focus on SDG 7 (Affordable and Clean Energy), SDG 8 (Decent Work and Economic Growth), SDG 12 (Responsible Consumption and Production), and SDG 13 (Climate Action).

Our quality management system is certified to ISO 9001:2015, and our environmental management system holds ISO 14001:2015 certification across all three production sites. In 2024, we initiated the process for ISO 50001 (Energy Management) certification, with full compliance expected by Q2 2025. We are also working toward ISO 45001 certification for occupational health and safety management.

3. Environmental Performance Overview

GreenCorp's environmental management approach is built on the plan-do-check-act (PDCA) cycle, integrated with our ISO 14001-certified environmental management system. We track a comprehensive set of environmental performance indicators (EPIs) covering greenhouse gas emissions, energy consumption, water usage, waste generation, and circular economy metrics. These indicators are reviewed quarterly by the ESG Committee and annually by the full Board of Directors.

The company's environmental data collection process follows a rigorous protocol: primary data (meter readings, fuel receipts, refrigerant top-up logs) is gathered monthly at each site by trained environmental coordinators. This data is validated by site managers before being consolidated at the corporate level by the Sustainability & ESG Department. Where primary data is unavailable, we apply estimation methodologies consistent with the GHG Protocol Corporate Standard and document these estimates transparently.

In 2024, GreenCorp continued to make progress across several key environmental metrics. Our energy intensity — measured as megawatt-hours per million euros of revenue — decreased by 4.3% year-on-year, reflecting both operational efficiency improvements and the increasing contribution of on-site renewable energy generation. Water consumption intensity improved by 2.8%, while hazardous waste generation per unit of production decreased by 3.1% compared to 2023 levels.

The company also made significant investments in environmental infrastructure during 2024. A new closed-loop cooling water system was commissioned at the Gy■r facility, reducing process water consumption by an estimated 15,000 cubic meters annually. At the Budapest site, a solvent recovery unit was installed, enabling the capture and reuse of approximately 85% of cleaning solvents previously disposed of as hazardous waste. These investments represent a total capital expenditure of EUR 2.4 million in environmental improvements during the reporting year.

Our environmental risk assessment framework, updated annually, identifies and evaluates climate-related physical and transition risks across our operations and value chain. For 2024, the most material risks identified include: energy price volatility (managed through a combination of fixed-price contracts and on-site generation), regulatory changes related to the EU Emissions Trading System (EU ETS) expansion, physical risks from extreme weather events affecting our Gy■r facility (located in a flood-prone area), and supply chain disruption risks linked to climate impacts on raw material availability.

4. Scope 1 Emissions

Scope 1 emissions comprise direct greenhouse gas emissions from sources that are owned or controlled by GreenCorp. In accordance with the GHG Protocol Corporate Accounting and Reporting Standard, our Scope 1 inventory includes emissions from: natural gas combustion for space heating and industrial processes across all three facilities; diesel and gasoline consumption in the company's owned vehicle fleet (comprising 12 delivery trucks and 8 passenger vehicles); refrigerant losses from HVAC and process cooling equipment; and fugitive emissions from welding and metal treatment operations.

Data collection for Scope 1 emissions followed a tiered approach. Natural gas consumption data was obtained directly from calibrated utility meters at each facility and cross-referenced against supplier invoices. Vehicle fuel consumption was tracked through fuel card records maintained by our fleet management provider. Refrigerant top-up logs were maintained by certified HVAC technicians and reviewed quarterly. Emission factors for natural gas (0.202 kg CO2e/kWh), diesel (2.69 kg CO2e/liter), and gasoline (2.33 kg CO2e/liter) were sourced from DEFRA 2024 conversion factors.

> The company's Scope 1 emissions for 2024 were 1,850 tonnes CO2 equivalent.

(Source: energia_2024.xlsx)

The breakdown of Scope 1 emissions by source category is as follows: natural gas combustion accounted for 1,420 tonnes CO2e (76.8% of total Scope 1), primarily from industrial process heating at the Budapest and Gy■r facilities; mobile combustion from the company vehicle fleet contributed 310 tonnes CO2e (16.8%); refrigerant losses contributed 85 tonnes CO2e (4.6%); and fugitive process emissions accounted for 35 tonnes CO2e (1.9%). The site-level distribution shows Budapest contributing 920 tonnes CO2e, Gy■r contributing 580 tonnes CO2e, and Pécs contributing 350 tonnes CO2e.

Compared to the 2023 baseline, Scope 1 emissions decreased by 3.8%, from 1,923 tonnes CO2e. This reduction was primarily driven by: energy efficiency improvements in natural gas-fired process heating equipment (saving an estimated 85 tonnes CO2e); the replacement of two diesel delivery trucks with Euro VI compliant vehicles (saving 22 tonnes CO2e); and improved refrigerant leak detection and repair practices (reducing fugitive emissions by 8 tonnes CO2e). These improvements were partially offset by increased production volumes, which would have added an estimated 42 tonnes CO2e without the efficiency measures.

5. Scope 2 Emissions

Scope 2 emissions encompass indirect greenhouse gas emissions from the generation of purchased electricity, heat, and steam consumed by GreenCorp's operations. We report Scope 2 emissions using both the location-based and market-based methods as required by the GHG Protocol Scope 2 Guidance. The location-based method applies grid-average emission factors for the Hungarian electricity grid, while the market-based method accounts for contractual instruments including Guarantees of Origin (GOs) for renewable electricity purchases.

Electricity consumption data was collected from utility meters at each facility and validated against monthly invoices from our electricity suppliers. In 2024, GreenCorp sourced electricity from two providers: MVM Next Energiakereskedelmi Zrt. (supplying the Budapest and Gy■r sites under a fixed-price contract) and E.ON Energiakereskedelmi Kft. (supplying the Pécs site). Additionally, on-site solar photovoltaic generation at the Budapest facility contributed to reducing our net grid electricity consumption.

> The company's Scope 2 emissions for 2024 were 4,200 tonnes CO2 equivalent.

(Source: energia_2024.xlsx)

Using the location-based method, we applied an emission factor of 0.275 kg CO2e/kWh for grid electricity in Hungary (source: Association of Issuing Bodies, European Residual Mix 2024). Under this methodology, our location-based Scope 2 emissions from purchased electricity totaled 4,200 tonnes CO2e. Using the market-based method, after accounting for the purchase of Guarantees of Origin covering 35% of our grid electricity consumption, our market-based Scope 2 emissions were 2,730 tonnes CO2e.

Site-level Scope 2 emissions were distributed as follows: Budapest contributed 2,010 tonnes CO2e (47.9%), Gy■r contributed 1,210 tonnes CO2e (28.8%), and Pécs contributed 800 tonnes CO2e (19.0%). The remaining 180 tonnes CO2e (4.3%) were attributable to purchased heat (district heating) at the Budapest administrative offices. The Budapest site benefits from the largest on-site solar installation, which generated approximately 520 MWh in 2024, directly reducing grid electricity purchases.

> The total Scope 1 and Scope 2 emissions amount to 6,050 tonnes CO2 equivalent.

(Source: energia_2024.xlsx)

Year-on-year, our combined Scope 1 and 2 emissions (location-based) decreased by 2.1% from 6,180 tonnes CO2e in 2023. This reduction trajectory is consistent with our science-based target of reducing absolute Scope 1 and 2 emissions by 42% by 2030, compared to the 2021 base year. We recognize that achieving this target will require continued investment in energy efficiency, electrification of process heat, and expansion of on-site and off-site renewable energy capacity.

6. Scope 3 Emissions

Scope 3 emissions encompass all indirect greenhouse gas emissions that occur in GreenCorp's value chain, excluding those captured in Scope 2. In accordance with the GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard, we have conducted a comprehensive screening of all 15 Scope 3 categories to identify those that are material to our business. For 2024, we have quantified emissions for the following categories: Category 1 (Purchased Goods and Services), Category 4 (Upstream Transportation and Distribution), Category 5 (Waste Generated in Operations), Category 6 (Business Travel), Category 7 (Employee Commuting), and Category 9 (Downstream Transportation and Distribution).

Our Scope 3 data collection methodology combines primary data from key suppliers (covering approximately 60% of our procurement spend) with secondary data from environmentally-extended input-output (EEIO) databases for the remaining spend categories. We engaged with our top 25 suppliers by spend (representing 72% of total procurement expenditure) to collect activity-based emission data, and we are pleased to report that 22 of these suppliers provided at least partial emission data for the 2024 reporting period.

> The estimated Scope 3 emissions were 18,400 tonnes CO2 equivalent.

(Source: scope3_szallito.xlsx)

The breakdown of Scope 3 emissions by category reflects the carbon-intensive nature of our supply chain, which is dominated by raw material extraction and processing. Category 1 (Purchased Goods and Services) represents the largest share at 12,500 tonnes CO2e (67.9%), driven primarily by steel, aluminum, and specialty alloy procurement. Category 4 (Upstream Transportation) contributed 4,200 tonnes CO2e (22.8%), reflecting the logistics footprint of inbound raw material deliveries. Category 5 (Waste) accounted for 580 tonnes CO2e (3.2%), Category 6 (Business Travel) for 420 tonnes CO2e (2.3%), Category 7 (Employee Commuting) for 390 tonnes CO2e (2.1%), and Category 9 (Downstream Transportation) for 310 tonnes CO2e (1.7%).

We acknowledge the inherent uncertainty in Scope 3 emission estimates, particularly for categories where primary data availability is limited. Based on our uncertainty assessment following the GHG Protocol guidance, we estimate an overall uncertainty range of +/-25% for our total Scope 3 inventory. We are actively working to reduce this uncertainty through expanded supplier engagement, improved data quality protocols, and sector-specific emission factor development in collaboration with our industry association.

In 2024, we launched the GreenCorp Supplier Sustainability Program, which requires all strategic suppliers (those representing more than 2% of annual procurement spend) to report their emissions annually and set science-based reduction targets by 2027. As of December 2024, 18 of our 31 strategic suppliers had formally committed to this program, representing 64% of strategic procurement spend.

7. Renewable Energy

GreenCorp is committed to increasing the share of renewable energy in its total energy consumption as a central pillar of our decarbonization strategy. Our approach combines on-site generation (rooftop solar photovoltaic systems), off-site power purchase agreements (PPAs), and the procurement of unbundled energy attribute certificates (Guarantees of Origin) to maximize the renewable content of our energy mix.

The company's flagship renewable energy asset is the 850 kWp rooftop solar photovoltaic installation at the Budapest facility, commissioned in two phases (Phase 1: 500 kWp in 2022, Phase 2: 350 kWp in 2024). This system generated approximately 520 MWh of electricity during the 2024 reporting year, covering approximately 9% of the Budapest site's total electricity demand. The system's performance ratio (actual vs. theoretical output) averaged 82% in 2024, consistent with industry benchmarks for rooftop installations in the Central European climate zone.

In addition to on-site generation, GreenCorp procured 1,557 MWh of renewable electricity through the purchase of Guarantees of Origin (GOs) from Hungarian wind and solar assets. These GOs were sourced from a portfolio of renewable energy projects located in western Hungary and were retired on our behalf by our electricity supplier. The GOs were verified by the Hungarian Energy and Public Utility Regulatory Authority (MEKH) in accordance with the European Energy Certificate System (EECS) rules.

> The share of renewable energy in total energy consumption was 67%. This metric includes both the renewable portion of grid electricity (backed by GOs) and on-site solar generation, calculated as the total renewable energy consumed divided by total energy consumption across all energy carriers (electricity, natural gas, and vehicle fuels).

(Source: energia_2024.xlsx)

The total energy consumption for 2024 was 12,400 MWh, of which 8,308 MWh was from renewable sources (67%). The renewable energy contribution comprised: 520 MWh from on-site solar generation, 1,557 MWh from GOs for renewable grid electricity, and 6,231 MWh from the renewable component of the standard Hungarian grid mix (which averaged approximately 55% renewable in 2024, including nuclear as a zero-carbon source). Our calculation methodology follows the guidance provided in the GHG Protocol Scope 2 Guidance and the RE100 technical criteria.

Looking ahead, GreenCorp has secured planning permission for a 1.2 MWp ground-mounted solar installation adjacent to the Gy■r facility, with construction targeted for Q3 2025 and commissioning expected by Q1 2026. We are also evaluating a virtual power purchase agreement (VPPA) for a 5 MW share of a planned solar farm in eastern Hungary, which would further increase our renewable energy share toward our 2030 target of 85%.

E.ON Energiaszolgaltato confirmed that during the fourth quarter of 2024, GreenCorp consumed 3,100 MWh of energy, of which 2,077 MWh (67%) was sourced from renewable generation assets, consistent with the full-year average renewable share. This quarter-specific data provides additional verification of the annual renewable energy metrics reported in this statement.

(Source: energia_szamla_Q4.pdf)

8. Workforce and Social Responsibility

GreenCorp recognizes that our employees are our most valuable asset and that a skilled, motivated, and diverse workforce is essential to achieving our business and sustainability objectives. Our human resources strategy is aligned with the principles of the International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work, the UN Guiding Principles on Business and Human Rights, and the relevant provisions of the European Social Charter.

> The total headcount as of December 31, 2024 was 2,340 employees. This figure represents all permanent full-time and part-time employees across the company's three production sites and the Budapest headquarters, including employees on maternity/paternity leave and long-term sick leave. Temporary agency workers and independent contractors are excluded from this figure and reported separately under our contingent workforce disclosure.

(Source: hr_export_2024.csv)

The workforce is distributed across our three operational sites as follows: Budapest (including headquarters functions): approximately 1,030 employees (44.0%); Gy■r: approximately 770 employees (32.9%); and Pécs: approximately 540 employees (23.1%). The gender distribution of our workforce shows 1,520 male employees (65.0%) and 820 female employees (35.0%), reflecting the male-dominated nature of the industrial manufacturing sector in Hungary. We are actively working to improve gender diversity through targeted recruitment initiatives, partnerships with technical universities, and mentorship programs for women in engineering.

Employee turnover for 2024 was 8.4% (voluntary and involuntary), down from 9.1% in 2023 and below the Hungarian manufacturing sector average of approximately 12%. Our employee engagement survey, conducted biennially with the most recent results from November 2024, achieved an 82% response rate and an overall engagement score of 78/100, representing a 3-point improvement from the 2022 survey. Key areas of strength identified included workplace safety culture, team collaboration, and pride in the company's products, while areas for improvement included career development opportunities and workload management.

Health and safety remains a top priority for GreenCorp. Our Lost Time Injury Frequency Rate (LTIFR) for 2024 was 1.8 per million hours worked, compared to 2.1 in 2023. We recorded zero fatalities and zero major occupational illnesses during the reporting period. The company's Occupational Health and Safety Committee, comprising management and employee representatives from each site, met quarterly to review safety performance, investigate incidents, and approve corrective actions. In 2024, we invested EUR 340,000 in safety equipment upgrades, ergonomic workstation improvements, and expanded health screening programs for employees.

We are committed to paying a living wage to all employees and to maintaining fair and equitable compensation practices. In 2024, the average total compensation (including base salary, bonuses, and benefits) for production workers exceeded the Hungarian statutory minimum wage by 42% and the estimated living wage for the regions in which we operate by 18%. The ratio of the CEO's total annual compensation to the median employee total compensation was 12.4:1, well within the range considered acceptable under responsible corporate governance standards.

9. Training and Development

GreenCorp is committed to fostering a culture of continuous learning and professional development. We believe that investing in our employees' skills and capabilities is essential for maintaining our competitive advantage, supporting our sustainability transition, and providing fulfilling career pathways for our workforce. Our training framework encompasses technical skills development, sustainability and ESG awareness, leadership and management capabilities, and health and safety competencies.

> The number of participants in training programs was 1,240 employees. This figure represents unique employees who participated in at least one formal training activity during the 2024 calendar year, including both internal training sessions (conducted by our in-house training team and experienced technical staff) and external training programs (provided by accredited training institutions, equipment suppliers, and professional bodies). An employee is counted once regardless of the number of training activities they participated in during the year.

(Source: internal training records)

The total training hours delivered in 2024 amounted to 28,520 hours, representing an average of 23.0 training hours per employee who participated in at least one program. When calculated across the entire workforce, the average was 12.2 training hours per employee. Training hours were distributed as follows: technical and operational skills (14,830 hours, 52.0%), sustainability and environmental management (4,280 hours, 15.0%), health and safety (5,700 hours, 20.0%), leadership and management (2,280 hours, 8.0%), and compliance and ethics (1,430 hours, 5.0%).

A highlight of our 2024 training program was the launch of the "GreenCorp Sustainability Academy," a dedicated e-learning platform offering 24 modules covering topics such as climate science fundamentals, carbon footprinting, circular economy principles, sustainable procurement, and ESG reporting frameworks. The platform was rolled out to all employees in September 2024, and by year-end, 890 employees had completed at least one module, with strong uptake across all employee categories and seniority levels.

Our apprenticeship and graduate development programs continue to be important talent pipelines for the company. In 2024, we employed 28 apprentices across our three sites in partnership with local technical schools and vocational training centers. Additionally, 12 graduates joined our two-year rotational development program, gaining experience across engineering, production, quality, and sustainability functions. The retention rate for program graduates after three years of employment stands at 76%, demonstrating the effectiveness of these programs in building long-term employee commitment.

GreenCorp invested EUR 420,000 in training and development activities during 2024, representing 0.22% of total revenue and approximately EUR 180 per employee (calculated on the basis of total headcount). While this investment level is consistent with the Hungarian manufacturing sector average, we recognize the need to increase our training budget to support the workforce transition required by our sustainability strategy and digitalization roadmap. A target of 0.35% of revenue allocated to training by 2027 has been included in our human capital strategy.

10. Corporate Governance & ESG Oversight

GreenCorp maintains a corporate governance framework designed to ensure effective oversight of sustainability risks and opportunities, alignment with stakeholder expectations, and compliance with applicable legal and regulatory requirements. Our governance structure integrates ESG considerations at all levels of the organization, from the Board of Directors through to operational management at each production site.

The Board of Directors holds ultimate responsibility for the company's sustainability strategy and performance. In January 2024, the Board established a dedicated ESG Committee, chaired by Dr. Mária Kovács, an independent non-executive director with extensive experience in environmental policy and corporate sustainability. The ESG Committee comprises three Board members and meets quarterly to review sustainability performance, oversee climate-related risk management, approve ESG disclosures, and monitor progress against our sustainability targets.

At the executive level, the Chief Sustainability Officer (CSO), Ms. Anna Tóth, reports directly to the CEO and has a dotted-line reporting relationship to the ESG Committee Chair. The CSO leads the Sustainability & ESG Department, a team of 7 professionals covering environmental management, social performance, governance and reporting, and stakeholder engagement. The CSO is a member of the Executive Committee, ensuring that sustainability considerations are integrated into all strategic business decisions.

Our sustainability governance is further strengthened by cross-functional working groups that address specific ESG topics: the Carbon Management Working Group (focusing on emissions reduction projects and target-setting), the Supplier Sustainability Working Group (driving our Scope 3 engagement program), and the Diversity, Equity & Inclusion Committee (overseeing workforce diversity initiatives and pay equity reviews). Each working group includes representatives from relevant business functions and meets at least monthly.

Executive compensation is linked to sustainability performance through our annual bonus scheme. For 2024, 20% of the annual bonus for Executive Committee members was tied to the achievement of specific ESG targets, including: absolute reduction in Scope 1 and 2 emissions (weighted 40%), improvement in the lost time injury frequency rate (weighted 25%), achievement of the renewable energy share target (weighted 20%), and completion of the ISO 50001 certification process (weighted 15%). The Board's Remuneration Committee reviews ESG-linked compensation metrics annually to ensure continued alignment with the company's sustainability strategy.

GreenCorp maintains a comprehensive Code of Conduct, reviewed and updated in 2024, which applies to all employees, officers, and directors. The Code covers topics including anti-bribery and corruption, conflicts of interest, fair competition, human rights, environmental responsibility, and data privacy. All employees completed mandatory Code of Conduct training during 2024, and the company operates a confidential whistleblowing hotline, managed by an independent third-party provider, through which employees and external stakeholders can report concerns anonymously.

11. Future Targets & Commitments

GreenCorp's sustainability targets are designed to drive meaningful, measurable improvements in our environmental and social performance while supporting the company's long-term business strategy. Our targets are informed by climate science (specifically the IPCC's assessment of the emissions reductions required to limit global warming to 1.5°C), stakeholder expectations, regulatory requirements under the EU Green Deal and CSRD, and an assessment of what is technically and economically feasible for our business.

Climate & Energy Targets

2030: Reduce absolute Scope 1 and 2 greenhouse gas emissions by 42% compared to the 2021 base year. This target has been validated by the Science Based Targets initiative (SBTi) as consistent with a 1.5°C trajectory.
2030: Increase the share of renewable energy in total energy consumption to 85%.
2030: Reduce Scope 3 emissions (Categories 1, 4, and 9) by 25% per tonne of product output compared to the 2021 base year.
2035: Achieve net-zero Scope 1 and 2 emissions.
2050: Achieve net-zero emissions across the full value chain (Scopes 1, 2, and 3).

Circular Economy Targets

2027: Achieve 90% diversion of non-hazardous operational waste from landfill.
2028: Ensure 100% of product packaging is reusable, recyclable, or compostable.
2030: Increase the recycled content of raw material inputs to 30% (by weight).

Social Targets

2027: Increase female representation in management positions to 30% (from 22% in 2024).
2027: Achieve LTIFR of less than 1.0 per million hours worked.
2030: Increase training investment to 0.35% of annual revenue.

Investment Requirements

Achieving these targets will require significant capital investment over the coming years. Our current estimates indicate a total investment requirement of approximately EUR 12-15 million between 2025 and 2030, allocated as follows: energy efficiency and electrification of process heat (EUR 4-5 million), on-site and off-site renewable energy capacity (EUR 3-4 million), circular economy infrastructure and process modifications (EUR 2-3 million), workforce training and development related to the sustainability transition (EUR 2 million), and supplier engagement and Scope 3 data infrastructure (EUR 1 million). We are actively exploring funding opportunities through EU green transition programs, including the Just Transition Fund and the Innovation Fund, as well as green bond issuance through the Budapest Stock Exchange.

12. Appendices & Methodology Notes

A. Reporting Standards & Framework

This Sustainability Statement has been prepared in accordance with the following standards and frameworks:

• European Sustainability Reporting Standards (ESRS), specifically ESRS 1 (General Requirements) and ESRS E1 (Climate Change), as adopted under the Corporate Sustainability Reporting Directive (CSRD)
• Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard (Revised Edition)
• Greenhouse Gas Protocol: Scope 2 Guidance (2015)
• Greenhouse Gas Protocol: Corporate Value Chain (Scope 3) Accounting and Reporting Standard (2011)
• ISO 14064-1:2018 — Greenhouse gases — Part 1: Specification with guidance at the organization level for quantification and reporting of greenhouse gas emissions and removals

B. Organizational Boundary

GreenCorp applies the operational control approach for defining its organizational boundary for greenhouse gas emissions reporting. All entities and facilities over which GreenCorp has operational control are included within the reporting boundary. This includes the three production sites (Budapest, Gy■r, and Pécs) and the Budapest headquarters office. Joint ventures and associates over which GreenCorp does not exercise operational control are excluded from the organizational boundary, with any material emissions from such entities disclosed separately.

The reporting period covers January 1, 2024, to December 31, 2024, consistent with GreenCorp's financial reporting period. There have been no significant changes to the organizational boundary during the reporting period. Where restatements of prior-year data have been necessary due to methodology improvements or corrections, these are clearly indicated in the relevant sections.

C. Emission Factors

The following primary emission factor sources were applied in the calculation of our greenhouse gas inventory:
• Natural gas and vehicle fuels: UK Department for Environment, Food & Rural Affairs (DEFRA) Greenhouse Gas Conversion Factors 2024
• Grid electricity (location-based): Association of Issuing Bodies (AIB) European Residual Mix 2024, Hungarian grid factor
• Grid electricity (market-based): Supplier-specific emission factors for MVM Next and E.ON contractual products
• Refrigerants: IPCC Fifth Assessment Report (AR5) Global Warming Potential values
• Scope 3 purchased goods: Environmentally-Extended Input-Output (EEIO) factors from EXIOBASE 3

D. Data Quality & Assurance

GreenCorp applies a data quality scoring system based on the GHG Protocol's guidance on uncertainty assessment. Each emission data point is assigned a score from 1 (highest quality: direct measurement with calibrated instruments) to 5 (lowest quality: proxy estimates based on industry averages). For the 2024 reporting period, approximately 72% of Scope 1 emission data achieved a quality score of 1 or 2, 85% of Scope 2 data achieved a quality score of 1 or 2, and approximately 40% of Scope 3 data achieved a quality score of 1 or 2 (with the remainder at scores of 3 or 4).

This report has been reviewed by GreenCorp's Internal Audit Department and approved by the ESG Committee and the Board of Directors. The company has not obtained external limited assurance on the 2024 Sustainability Statement. We have initiated a tender process for the appointment of an independent assurance provider and expect to obtain limited assurance on our 2025 disclosures, progressing to reasonable assurance by 2028 in line with CSRD requirements.

E. Contact Information

For questions, feedback, or additional information regarding this Sustainability Statement, please contact:

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This document is digitally signed and approved by the Board of Directors of GreenCorp Kft. on March 10, 2025.